

FWDI pitch deck

PITCH — FWDI — VERDICT

ADJUDICATED 2026-08-08 — DECLINE. No position, no order. The 22% discount that justified the idea was wrong on both halves of the fraction; the corrected discount (~16–23%) is real but thin against a stock that is essentially 100% unhedged Solana, and the quarterly report that decides it is now filed and unread by us.

What we believe

Forward Industries is a former accessories company that turned itself into a Solana holding vehicle. Its stock trades at \$4.54 against a 52-week high of \$46.00 — down 90%, and 30% off the \$3.48 low.

We believe three things, in descending order of confidence:

- 1. There is some discount to the coins.** The company owns roughly 7.55 million SOL as of 6/30/2026 plus about \$16.6M of cash, against debt of at least \$57.1M (stale — the newest borrowings are not yet visible to us). Marked at SOL \$72.895, the shares trade somewhere between about 0.77x and 0.95x of what the company owns per share, depending entirely on which share count you use and where liabilities actually land.
- 2. The discount is not the thesis we were originally sold.** The idea arrived as “22% off asset value with a buyback closing the gap.” That number was built on a coin count that was too low and a share count that was too low. Correcting both, the honest range is a 16–23% discount on the more favorable share basis, 5–12% on the harsher one. Two errors that partly cancelled made a broken calculation look plausible.
- 3. There is an unresolved honesty question that outranks the valuation question.** The company’s own marketing dashboard showed \$585.5M of holdings at 3/31 while the filed quarterly report showed \$507.3M of total digital assets — a roughly \$78M gap between the promoted number and the audited one. If the newest quarterly report shows that gap again unexplained, this name is permanently excluded regardless of price. That test matters more to us than the discount does.

Our position today: flat, and staying flat until someone reads the 8/12 filing line by line.

What the market believes

The market appears to believe the equity is worth modestly less than the coins it holds, and prices it accordingly. That is not obviously irrational:

- The exposure is a levered, unhedged bet on one cryptocurrency. Anyone can buy SOL directly without paying a corporate wrapper, without the debt, and without management.

- The average cost of the company's coins is around \$232/SOL against a spot near \$73 — the treasury is roughly 69% underwater. Growth in "SOL per share" has come from borrowing to buy more coins, not from buying back cheap stock.
- The discount is advertised by the company itself. It publishes the multiple on its own website, in two different flavors. A gap the seller points at is not a gap the market failed to see.
- Comparable crypto-treasury companies trade at similar discounts. This is a sector price, not a single-name mistake.

Why we might have edge

Honestly: thin, and mostly of the "we did the arithmetic and others repeated a press release" kind.

- **The two published multiples differ and almost nobody reconciles them.** The company shows both a fully-diluted figure (0.827x) and an in-the-money-shares figure (0.702x). Roughly 30 million warrants sit between them. Whether those warrants are pre-funded (effectively shares already) or genuinely out-of-the-money (and therefore should not be counted as free shares) is the entire difference between "cheap" and "not cheap." The answer lives in the equity note of the quarterly report, which most commentary does not open.
- **The \$78M gap between the promoted holdings number and the accounting number.** We found it; the sell-side narrative does not discuss it. If it is a definitional difference (staked/wrapped coins, timing, cost-vs-fair-value), it is nothing. If it recurs unexplained, it is a disclosure problem — and finding companies whose promoted numbers do not tie to their filed numbers is the thing this desk is actually good at.
- **The buyback story is misread in public.** Nearly half of the \$65.4M repurchase was a single negotiated block — 6,164,324 shares at \$4.445 (about \$27.4M) bought from an exiting private-placement investor and financed with a \$40M loan from Galaxy. That is a borrowed-money exit ramp for one holder, not an ongoing per-share value engine. It reads in headlines as "retired 14% of the company."

Why it might be priced in

Most of it probably is.

- Every headline number was public before the quarterly report: 7.55M coins, 73.85M basic shares, 0.0729 SOL per fully diluted share. The report's only genuinely new information is the debt stack and the warrant schedule.
- **Management's own behavior says the stock is not the bargain.** In the June quarter they spent roughly \$40M buying SOL at about \$79 (now \$72.9) instead of buying back stock they publicly describe as trading at a discount. They also bid for another company in all stock — you issue stock you think is expensive, not stock you think is cheap. And while repurchasing shares, they simultaneously *sold* 93,642 shares through an at-the-market program.

- **The buyback is decelerating.** Basic shares went 76,314,617 → 73,846,883, about −3.2%, versus −14% in the prior stretch.
- **A 16–23% cushion is about two bad days in SOL.** Buying a 20% discount to obtain 100% exposure to a volatile asset you could buy directly is not an edge; it is a leveraged directional bet with a coupon attached.
- One mild point in the company’s favor: borrowing at ~3.4% to hold coins yielding 6.4–7.3% from staking is positive carry. Small, but real.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“They hold 5,278,000 SOL” (original thesis)	Company press releases + treasury dashboard	Company reports 7,013,536 SOL at 3/17 and over 7.55M at 6/30, having <i>bought</i> 500k+ SOL in the June quarter at ~\$79	No — our own first bench’s numerator was wrong
“They sold coins 6.854M → 5.278M to fund buybacks”	Cross-quarter comparison	Our skeptic called this “backwards.” Partly unfair: the selldown was a fact from the <i>prior</i> quarter’s report; the purchases were the <i>following</i> quarter. Both can be true. Our skeptic overstated its own refutation.	Partly — direction of travel was misattributed by the challenger
“\$5.42 of asset value per share on 74,679,699 shares”	Company’s own per-share metric, reverse-engineered	Company’s 0.0729 SOL per fully diluted share implies ~103.6M shares; 105,894,207 fully diluted was stated outright in March. Roughly 30M warrants were simply never pulled. The original thesis skipped the capital-structure step.	No — our own bench’s denominator was wrong
“Corrected, the discount is only 6–14%”	Recomputed both ways	Over-corrected. Counting ~13M apparently out-of-the-money warrants as free shares with no exercise proceeds is harsher than standard treasury-stock accounting. On the in-the-money basis the discount is ~16–23% — roughly double what our skeptic claimed. Our challenger’s “fatal” kill was itself too aggressive and was downgraded to a sizing argument.	Directionally yes, magnitude no
“Buyback retired 14% — the mechanism works”	Filed 8-K exhibit + trade press	Confirmed but re-characterized: 6,164,324 shares at \$4.445 from one exiting investor, debt-financed; pace since then −3.2%; at-the-market sales running alongside	Confirmed against us
Do the promoted holdings tie to the accounts?	Dashboard vs. quarterly report	\$585.5M promoted vs \$507.3M reported at 3/31 — ~\$78M unexplained. Neither bench raised this until the second pass; the challenger missed it entirely while attacking the arithmetic	Open — and it is the highest-priority open item
Is “fwdSOL” (\$49.9M) additional to the 7.55M,	Report note vs. press releases	Unresolved. If it is already inside the total, adding it double-counts.	Unresolved

Claim	How checked	Found	Confirmed?
or already inside it?		Separately it appears pledged to Galaxy, so it is not freely ours to value	
“The acquisition bid lapsed — no firm offer”	Filing index	Confirmed. No 8-K between 6/16 and 7/20, none after with a firm offer. Our challenger had flagged this as an unverifiable coverage gap; the filing index closed it in the original thesis’s favor	Confirmed for us
Live price and coin price	Broker feed	Both benches were locked out of the live quote system, and both were blocked by EDGAR’s bot filter. Every valuation number in this deck rests on a marked price of SOL \$72.895 and a stock price of \$4.22–\$4.33. Current tape is \$4.54 — the stock has risen since the argument was held, so the discount today is thinner than anything computed here	No — a known weakness of this whole analysis
Accounting data in the evidence pack	Pack’s own XBRL block	Unusable. It describes the <i>pre-pivot</i> accessories business (1.1M diluted shares, revenue of \$2.5M, quarters ending 3/2025). Anyone doing per-share math off that block gets a nonsense answer	Caught and discarded
“The quarterly report is due about 8/14”	Filing index	Wrong — it was filed 2026-08-12, together with an 8-K announcing results (SEC 8-K, 2026-08-12). Our deadline arithmetic was two days late. More importantly: the document that decides this name already exists and we have not read it.	No — and this is the live gap

PROPOSED ENTRY BANDS

There is no entry today. The verdict was decline-before-the-report, and the report has since been filed but not analyzed. The reopen conditions below are taken verbatim from the adjudication and are the only path to a position.

Reopen gates — all three must pass in the 10-Q filed 2026-08-12:

1. At least 7.5M SOL, unencumbered, reconciled to the audited digital-asset figure (not just the press release);
2. Total liabilities of \$100M or less;
3. A warrant schedule that confirms the in-the-money / out-of-the-money split.

All three pass → asset value is verified at roughly 0.75x → **starter long permitted, after the report only. Any one fails, or the promoted-vs-reported holdings gap is left unreconciled → permanent exclusion.** That is an honesty exclusion, not a price exclusion; it does not reopen at a lower price.

Price levels (valid only at SOL = \$72.895; recompute before acting):

Action	Rule	Dollar level if debt $\approx$ \$57M	Dollar level if debt $\approx$ \$100M
Starter	$\leq 0.75x$ verified in-the-money asset value	\$4.28	\$3.91
Add	$\leq 0.65x$	\$3.71	\$3.39
Trim / exit	$\geq 0.95x$	\$5.42	\$4.96

Derivation, so it can be rebuilt: $7.55\text{M SOL} \times \$72.895 = \$550.4\text{M}$, plus \$16.6M cash, minus liabilities, divided by $\sim 89.5\text{M}$ in-the-money shares (inferred from the company's own 0.702x figure). Asset value lands at \$5.70/share on the light-debt case and \$5.22 on the heavy-debt case. Because the asset is a coin that moves daily, **the multiple is the rule and the dollar figures are only today's translation of it**. Rough conversion: every \$10 move in SOL is about \$0.84 per share of asset value.

Note the awkward fact: at today's \$4.54, the stock is *above* the starter level in both cases. Even if all three gates pass cleanly, there is no buy at this price. The idea needs either a lower stock price or a higher coin price to become actionable.

Sizing if it ever triggers: 0.5% of the book as a starter, 1.5% absolute cap. The exposure is essentially unhedged single-cryptocurrency risk with corporate debt in front of us; a 20% discount does not pay for that at size. No premium selling, no leverage, no averaging down below the add level without re-verifying the debt.

Catalyst dates: - **2026-08-12 — quarterly report filed (confirmed, in the filing index)**. This is the decisive document. It is available now and has not been read. - **2026-08-14 — a 13G ownership filing (confirmed, unread)**. Tells us who arrived or left. - **2026-08-17 — three Form 4 insider filings (confirmed, unread)**. Insider buying or selling five days after results is directly informative about the “is the stock cheap” question. - **2026-12-01 — next results (unconfirmed; derived from a data vendor, not from any company announcement)**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.71 (deck-provisional: Add level at 0.65x verified asset value, light-debt case; only after all three reopen gates pass)
- filing watch: 10-Q until 2027-02-14 (deck-provisional: The 2026-08-12 filing decides the name: unencumbered SOL count, total liabilities, warrant in/out-of-t)
- dated pack FWDI|2026-08-14: FWDI 10-Q: HIT = SOL count reconciles $\geq 7.5\text{M}$ unencumbered + liabilities $\leq \$100\text{M}$ + warrant schedule confirms ITM split. RESOLVE: `python3 -m d`
- dated pack FWDI|2026-08-12: FWDI: Quarterly report (10-Q) filed — the decisive document, confirmed present in the filing index, not yet read (date confirmed=True)

- dated pack FWDI|2026-08-17: FWDI: Three Form 4 insider transaction filings — unread (date confirmed=True)
- dated pack FWDI|2026-12-01: FWDI: Next quarterly results — vendor-derived estimate, no company announcement confirms it (date confirmed=False)

What remains unverified

- **The 8/12 quarterly report itself.** It exists; we have not opened it. Every conclusion in this deck is pre-report analysis. This is the single largest hole and it is closable today.
- Whether the ~\$78M promoted-vs-reported holdings gap is a definitional artifact or a disclosure problem.
- Whether the ~30M warrants are pre-funded (already effectively shares) or genuinely out-of-the-money. Without this, the discount is a range, not a number.
- Total liabilities after the June-quarter coin purchases. The \$57.1M figure is stale and the purchases were debt-funded, so the true number is higher — possibly much higher.
- Whether the 7.55M coins are unencumbered, and how much is pledged.
- Whether “fwdSOL” is additive or duplicative.
- Live prices. All valuation here is marked at SOL \$72.895 against a stock last argued at \$4.22–\$4.33; the tape is now \$4.54.
- Company statements were largely reached through press releases, the company’s own dashboard, and trade press rather than direct filing retrieval — with the exception of the 8-K text in the evidence pack and the filed exhibit at sec.gov/Archives/edgar/data/38264/000168316826001997/forward_ex9901.htm. Where a press release and a filing disagree, the filing wins, and we have not yet done that comparison for the newest quarter.
- The 12/01/2026 results date is a vendor estimate, not a company announcement.

```
{"price_gates": [{"level": 4.28, "direction": "below", "basis": "Starter only below 0.75x verified in-the-money asset value ($5.70/sh at SOL $72.895, debt ~$57M); recompute if debt or SOL move"}, {"level": 3.91, "direction": "below", "basis": "Same 0.75x rule under the heavy-debt case ($5.22/sh asset value at liabilities ~$100M)"}, {"level": 3.71, "direction": "below", "basis": "Add level at 0.65x verified asset value, light-debt case; only after all three reopen gates pass"}, {"level": 5.42, "direction": "above", "basis": "Trim/exit at 0.95x verified asset value – discount gone, left holding unhedged levered SOL"}], "event_gates": [{"forms": ["10-Q"], "why": "The 2026-08-12 filing decides the name: unencumbered SOL count, total liabilities, warrant in/out-of-the-money schedule"}, {"forms": ["8-K"], "why": "Debt amendments, treasury updates, or a revived all-stock acquisition bid change share count and asset value"}, {"forms": ["4"], "why": "Three insider filings dated 2026-08-17 unread; insider direction after results speaks to whether management thinks the stock is cheap"}, {"forms": ["SC 13G", "SC 13D", "SC 13D/A"], "why": "Ownership turnover – the buyback was largely one exiting private-placement holder; watch for the next one"}], "catalyst_dates": [{"date": "2026-08-12", "what": "Quarterly report (10-Q) filed – the decisive document, confirmed present in the filing index, not yet read", "confirmed": true}, {"date": "2026-08-14", "what": "Schedule 13G ownership filing – unread", "confirmed": true}, {"date": "2026-08-17", "what": "Three Form 4 insider transaction filings – unread", "confirmed": true}, {"date": "2026-12-01", "what": "Next quarterly results – vendor-derived estimate, no company announcement confirms it", "confirmed": false}], "immediate_entry": null}
```